ED&F MAN EST. 1783 | Research



Monthly Sugar Note

28th October 2026

Markets

A month ago, sugar market analysts were questioning whether the rally that had lifted NY11 from around 15c/lb in July to the mid-18c/lb range by the end of September had run its course. At the time, speculative buying, fuelled by El Niño-related concerns, appeared to be the main driver behind the move. Today, however, prices are approaching the 20c/lb level, prompting a different question: are we overlooking a fundamental factor, or is speculative activity still the primary force behind the rally?

Indeed, speculative buying remains a major source of support for the market. As of 20 October, the net speculative long position had reached 223,000 lots, close to the highest level in five years, although still well below the all-time high of 348,000 lots recorded in October 2016. We continue to believe that specs are unlikely to become meaningful sellers before February, when they will face the decision of either rolling their positions forward or taking profits and reducing their exposure. Regardless of how funds ultimately manage these positions, however, several fundamental developments are beginning to emerge that could help explain the latest leg higher in prices.

Figure 1: Net spec position vs. NY11 prices

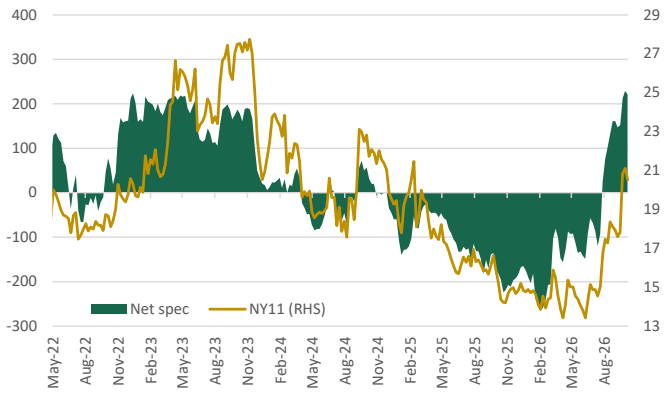
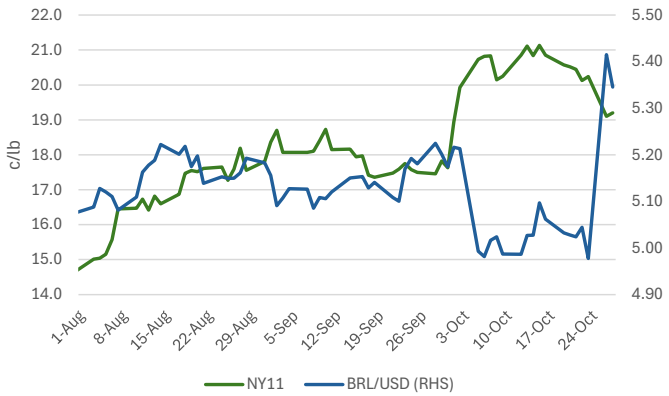


Figure 2: BRL/USD vs. NY11 prices



Source: CFTC, NCX and ED&F Man Commodity Research

The wet October forecast in Brazil has clearly materialized. As of 26 October, Brazil Centre-South cane areas had received close to 220 mm of rainfall, already 34% above the historical average for the entire month. Incorporating the forecast for the remainder of the month would take cumulative October rainfall to an exceptional 271 mm. The latest crop results, covering the second half of September, have yet to capture the impact of this wetter weather. However, given the magnitude of the rainfall, October

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crushing activity is likely to be significantly disrupted, potentially leaving Brazil C/S with its lowest monthly cane crush since the 2021/22 season, when total crop crushing reached just 523mmt.

The impact of the recent rainfall was one of the main topics of discussion during London Sugar Week, leading several analysts to revise their Brazil C/S sugar production estimates to below 38 Mt. Interestingly, traditional variables such as cane area and agricultural yields received relatively little attention, as concerns over cane availability appear limited. Looking further ahead, the combination of abundant cane availability and sustained rainfall should provide favourable conditions for crop development during the first half of the 2027/28 season. The outlook for the second half will depend more heavily on summer rainfall, which could remain supportive under an El Niño pattern. Overall, weather permitting, Brazil C/S looks increasingly likely to test the limits of its crushing capacity next season.

Before getting there, however, the market still needs to navigate disappointing Northern Hemisphere crops. With the exception of China and Russia, most major Northern Hemisphere producers are currently facing dry conditions, with India emerging as the key concern.

Following a series of policy measures, including an 1mmt duty free import quota that ultimately allowed only 250 kt of sugar into the domestic market, the Indian government succeeded in stabilising prices during September. Nevertheless, the underlying supply-and-demand imbalance remains unresolved, as suggested by extension of the deadline for duty-free raw sugar imports by two months that has been informed by the government this week.

The new Indian crushing season has only just begun, with progress in some states being hampered by farmer protests, though the early start should show higher October figures when compared to the past crop. As in Brazil C/S, production expectations have also been revised lower following recent field assessments conducted by several trade houses. Overall, India enters the season with sugar production expectations of around 27mmt, a level that, in our view, is likely to necessitate another import quota in the coming months. The timing of any additional imports will ultimately depend on early crop performance and the behaviour of domestic sugar prices.

Brazil's ethanol balance is also tightening. August and September data show hydrous ethanol consumption approaching 1.8 million cbm. Meanwhile, exports remained substantial in September, at around 350,000 cbm — approximately 170,000 cbm above the previous month and 76% higher year on year. Strong domestic demand, combined with the crop reduction mentioned above, could drive ethanol ending stocks to low levels by the end of the season, providing price support for the biofuel and, indirectly, influencing sugar prices as sugar mix potential decreases in the following Brazil C/S crop.

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To make matters more complicated, the recent Brazilian election resulted in Lula securing re-election after losing the first round. Concerns over fiscal discipline led the market to interpret the outcome negatively for the Brazilian economy, triggering a sharp depreciation of the BRL. This, in turn, weighed heavily on the sugar market, with NY11 falling by more than 100 points in a single session following the election result.

A weaker BRL could become one of the main bearish risks for sugar, as it improves local currency returns for Brazilian producers and could increase the incentive to maximise sugar production. As a result, the market will be closely watching the formation of the new government, particularly the appointment of the new Economy Minister and the direction of fiscal policy, for clues on the outlook for the Brazilian economy and the BRL in 2027.

Overall, speculators are likely to remain the main driver of the market in the near term, although fundamentals are also gradually shifting in a more bullish direction. Brazilian political developments, however, remain an important source of uncertainty and could still bring surprises. Looking into the medium term, Brazil's large 2027/28 crop does not appear to be under threat at this stage. However, even a strong Brazilian crop may not be sufficient to fully offset the production losses the market is currently anticipating elsewhere in 2027.

Fundamentals

- **India:** Rainfall across the key cane-growing regions of central-west India has been significantly below normal, materially weakening the outlook for both the 2026/27 and 2027/28 sugar seasons. Cumulative rainfall in Maharashtra and Karnataka, which account for approximately 36% and 18% of India's sugar production, respectively, is currently 30% and 34% below normal. More importantly, the rainfall shortfall has been particularly severe in the districts that typically drive production swings. In Maharashtra, cumulative rainfall has been 58% below normal in Solapur, 47% below normal in Marathwada and 55% below normal in Nagar. A similar pattern has emerged in Karnataka, where rainfall is 30% below normal in Bagalkot, 48% below normal in Bijapur, 59% below normal in Kalaburagi, 37% below normal in Bidar and 55% below normal across southern Karnataka. Overall, the rainfall deficit affecting the cane-growing areas of central-west India is more severe than that recorded during the 2015/16 season. The prolonged dryness has reduced available soil moisture and adversely affected cane development, agricultural yields and sugar recovery. Crushing operations have already started in Maharashtra, with approximately 100 mills currently operating. Initial feedback from harvested farms point to lower cane yields and reduced cane availability. As a result, the 2026/27 crushing season is expected to be unusually short, with some mills likely to begin closing from the first week of December as local cane supplies are exhausted. Against estimated 2026/27 sugar production close to 27.0mmt and domestic consumption of 28.5mmt, India is expected to require total imports during the season. Even with imports, stocks at the end of September 2027 are estimated to be a relatively tight. The consequences of the rainfall deficit are likely to extend into the following season. The significant deterioration in soil moisture, combined with weaker returns and reduced cane availability for planting, is expected to lead to a substantial contraction in harvested area in 2027/28. Despite the increasingly constructive supply outlook, domestic sugar prices remained broadly stable week on week. Ex-mill prices are currently trading at approximately INR 47,000–47,500 per metric tonne in central-west India and INR 49,000–49,500 per metric tonne in North India. The higher northern premium reflects regional supply conditions, while prices in central-west India have yet to

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fully incorporate the potential severity of the emerging cane shortage. Overall, the rainfall deficit has shifted India's sugar outlook from a weak 2026/27 crop to a potentially more structural two-season supply problem. Lower yields and a shortened crushing season are expected to constrain production in 2026/27, while reduced acreage could push output materially lower in 2027/28. If confirmed, this would transform India from a marginal import requirement in 2026/27 into a major buyer of Brazilian raw sugar in 2027/28, providing an important source of support to the global trade balance.

- **Asia:** The recovery in late-September rainfall in Thailand has eased concerns over a severe El Niño impact on the upcoming sugarcane crop. In September, rainfall across most regions ranged from 1% to 97% above both 2025 levels and the 10-year historical averages. The North-east was the only exception, recording a saw a 16% decline compared to 2025. While the improved rainfall has partially alleviated drought concerns, the main question remains as to whether the timing or distribution of the rainfall is sufficient and appropriate for the cane. Concerns over intense rainfall concentration in short periods of time may cause waterlogging, which would have a detrimental effect on the crop. October saw relatively dryer conditions throughout Thailand. As of 18th Oct, only Central rainfall saw 33% YoY higher than last year's, with the remaining 3 regions receiving approximately 50% less than 2025. On a cumulative basis, total rainfall to date since January is at 1096mm, falling short of last year's 1314mm. At this point of writing, it is likely we might not see such a heavy impact on the crop referencing those drought years in 2015 and 2019, since current rainfall has exceeded those years. In other smaller Asia producing regions like the Philippines and Vietnam, production should drop by 7-10% compared to 2025 considering a moderate El Nino impact. In Philippines, growing reports of RSSI diseases have added concerns to lower cane yields and production, which may pose further downside risks to the current crop.

- **US:** The October WASDE brought fewer changes to the US S&D than last month. The main revision was a 44k MTRV cut to domestic deliveries for both crops, reflecting the weak performance of deliveries so far, which USDA carried over into the 2026/27 projection. For the 2025/26 crop, beet sugar production was revised down by 34k MTRV, but the main changes came from imports: re-exports were up 54k MTRV to 362k MTRV, and TR2 was up 76k MTRV to 1,045k MTRV, with TR2 expected to keep being revised up in the coming reports. For the 2026/27 crop, besides the lower deliveries, beet production was cut by another 24k MTRV. All in all, the 2026/27 Stock To Use (STU) now at 14.9%, above the 13.5% target set under the Suspension Agreement, which represents a surplus of around 160k MTRV. There are no updates yet on the impact of the mealybug on Florida cane fields, but with the harvest just getting started, we should start to hear more soon.

- **Mexico:** Conadesuca first crop projection for the crop 26/27 shows sugar output at 5.3mmt, basically the same value of the previous season. Cane area is expected at 782k ha with agricultural yields pegged at 62.3ton/ha, resulting in a cane crush of 48.7mmt. USDA view for the new crop is higher with a sugar output projected at 5.4mmt.

- **Centrals:** The region is still in its intercrop period, with the 2026/27 crop expected to start over the next few weeks. Weather conditions remain concerning across the region which should results in 10% drop YoY in the sugar output, with individual countries ranging from 5% to 20% reductions YoY. There are still signs that production could deteriorate further, so additional cuts can't be ruled out.

- **EU/UK:** The dry weather has run on into the campaign, and the first lifting results have confirmed the cuts producers made to their estimates in September. September rainfall finished well below the five-year norm across the western beet belt, with France receiving 21mm against the historical average of 73mm, Belgium 30mm against 78mm, Germany 30mm against 89mm and the UK 25mm against 80mm, while the Netherlands received 70mm against 76mm. From 3 to 21 October France received 31mm against a norm of 41mm, Belgium 29mm against 42mm, Germany 31mm against 33mm, the UK 38mm against 53mm and Poland 11mm against 27mm. The French ministry of agriculture on 13 October lowered its 2026 beet forecast to 25.3mmt from

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25.4mmt, 30% lower on the year and the lowest since its records began in 1980. The CGB on 17 September put the area that will not be harvested at 20,000ha, up from 3,000ha a week earlier, with Île-de-France, Champagne, the Yonne, the Aube, Centre-Val de Loire, Alsace, the Oise and the Eure the worst affected, and some producers expect yields 25% lower than last year. In Germany, WVZ on 6 October lowered its 2026/27 sugar estimate to 3.33mmt from 3.386mmt in September, 25% lower on the year, on 299,970ha against 348,678ha, a beet yield of 71.2mt/ha against 82.1mt/ha and a sugar yield of 11.1mt/ha against 12.7mt/ha, with sugar content unchanged at 17.6%. Rhineland-Palatinate reports a beet yield of 41mt/ha and a sugar yield of 7.5mt/ha so far, its weakest since 1991. In Poland, producers had lifted 20,000ha by mid-October with beet yields below last year but above the long-term average and sugar content at 16%. KGS has withdrawn its plan to cut 2027 contract area by 10% but kept its beet offer at EUR 26/mt, which the growers' association KZPBC says is below cost, with talks resuming in November. Netherlands producers reported 15.8% sugar content in the first three weeks of the Dutch campaign and has extended processing by about a week with no change to expected output. In the UK, producers began slicing at Wissington on 29 September and at Bury St Edmunds and Newark on 6 October, with Cantley to start its final campaign on 10 November; yields are variable after the drought and sugar content is running above expectations, and British Sugar and NFU Sugar settled the 2027/28 contract on 5 October at GBP 28.50/mt fixed for up to half of contract tonnage, (against GBP 30/mt this year), or a GBP 25.50/mt base plus a market-linked bonus.

- **East Europe:** Russia's campaign is running at a strong pace, the season's output forecasts have moved up rather than down, and the smaller EAEU markets are tightening import controls to protect their own producers. The Eurasian Sugar Association put Russian sugar output at 2.43mmt as of 13 October. Krasnodar factories turned out 413kmt in the first eight months of the year, 20% more than in the same period of 2025, according to the regional agriculture ministry. Sugar.ru now sees 2026/27 Russian output at 6.9mmt once the syrup and molasses runs are counted, well above the Bank of Russia's 6.3mmt, which rests on yield gains making good the smaller area. Sugar.ru also reported that a number of plants are not slicing at full rate, with molasses hard to place and tanks full. Russian retail sugar averaged RUB 85/kg (USD 1.01/kg) in September, 16% above a year earlier. Kyrgyzstan's agriculture ministry said on 14 October that a six-month halt to sugar imports would take effect within a fortnight; Sugar.ru estimated that 20kmt had already arrived from Russia by mid-October. Belarus has produced 280kmt so far this campaign and Belgospischeprom expects to finish above 700kmt.

Focus – Brazil C/S

According to MAPA figures, by the end of September, CS mills had crushed 482mmt of cane, 1.6% behind last year. Sugar output was 28.9mmt, down 13.6% YoY, with a sugar mix of 47.0% against 52.3% LY. Total ethanol production, from both cane and corn, was 7% higher. The cane availability is not what will define the rest of the season. Agricultural yields have been good and there is plenty of cane left in the fields. The final number depends on how many days the rains will allows mills to keep crushing.

Weather has been the main driver since September. Centre South has lost about 6 crushing days due to rains in September (vs 2.4 days average) while crush was down 20% YoY as a result (MAPA). The worst-hit states were MS (10 days lost vs 3.5 normally, crush down 30%), PR (9.5 days vs 4, crush down 50%), and SP (6 days vs 2.4, crush down 23%, or 11mmt). October has been just as wet, with almost 12 days lost (vs. historical average with 5). This is the regional pattern a strong El Niño tends to bring, with wetter conditions in the south and southeast, and the current event is forecast to be among the strongest on record.

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Figure 3: Cane crush from Oct onwards

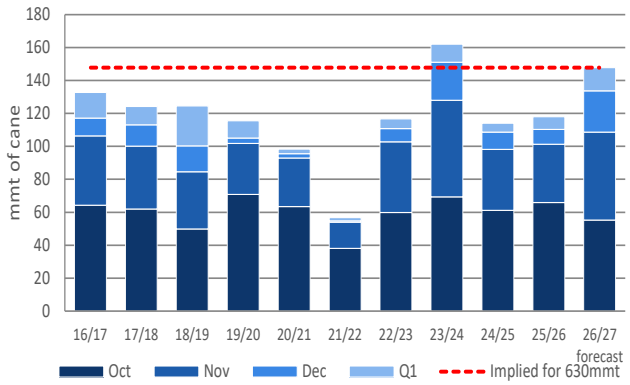
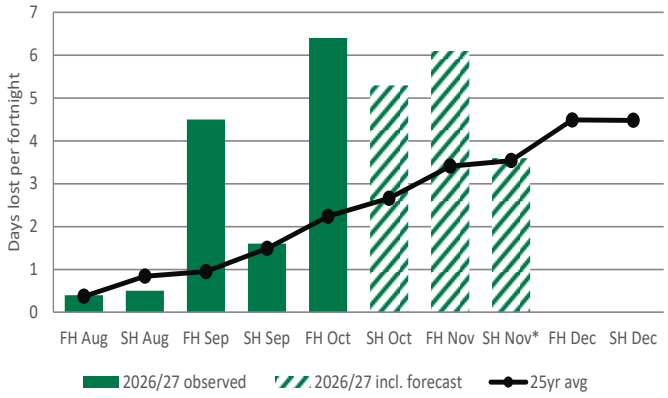


Figure 4: Days of stoppage due to rain



Source: MAPA and EDF Man Commodity Research

November is still expected to be wetter than normal, with forecasts pointing to around 10 days lost to rain up to Nov 25th (vs. about 7 historically). With so much cane still in the fields, mills should keep running at full capacity finishing their crop later than usual, with several mills harvesting until close to Christmas. On that basis, the CS could crush about 150mmt from October until the end of March, weather permitting, which brings the season near the 630mmt forecasted. That would be the second-largest crush after September in the past decade, what makes it quite challenging but achievable. As cane is not the constraint, the risks run both ways. A drier-than-normal end to the season would push the crush above 630mmt, while each additional day lost to rain would costs more crush. Any cane left in the field will carry over into 2027/28 and support the start of next season. Late-season rain would also dilute ATR, which is already suffering great losses this season. After a more ethanol-oriented start of the season, the current price parities between sugar and ethanol leaves no doubt and the producer is focusing on sugar production at a great extent, although the rains also have a negative influence on this point. In any case, CS should still see sugar output close to 37mmt.

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Prices Tab

New York #11					London #5				
(cents/lb)	27-Oct	30-Sep	% change		*($/tonne)*	27-Oct	30-Sep	% change	
Mar (27)	19.20	18.61	3.2%	↑	Dec (26)	519.2	506.3	2.5%	↑
May (27)	18.64	18.04	3.3%	↑	Mar (26)	531.4	518.3	2.5%	↑
New York #16					**White Premium**				
(cents/lb)	27-Oct	30-Sep	% change		*($/tonne)*	27-Oct	30-Sep	% change	
Jan (27)	42.00	39.00	7.7%	↑	Mar/Mar	108.1	108.0	0.1%	↑
Mar (27)	42.05	40.10	4.9%	↑	Mar/May	120.5	120.6	-0.1%	↓
Macro					**Currencies**				
Indicators	27-Oct	30-Sep	% change		*Against US$*	27-Oct	30-Sep	% change	
CRB	411.8	410.3	0.4%	↑	Euro (EU) *	1.112	1.133	-1.8%	↓
Gold	4,058	4,156	-2.4%	↓	Pound (GB) *	1.330	1.327	0.3%	↑
Brent Oil	113.88	103.53	10%	↑	Real (Brazil)	5.346	5.174	-3.3%	↓
Baltic Dry	2,603	3,430	-24%	↓	Rupee (India)	95.12	95.98	0.9%	↑
Handysize	1020	1002	2%	↑	Rouble (Russia)	80.55	83.37	3.4%	↑
					(* rate is US dollars per FX)				

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